

Whangarei District Council Meeting

Agenda

Date: Thursday, 5 June, 2025

Time: 9:00 am

Location: Civic Centre, Te Iwitihi, 9 Rust Avenue

Elected Members: His Worship the Mayor Vince Cocurullo
Cr Gavin Benney
Cr Nicholas Connop
Cr Ken Couper
Cr Jayne Golightly
Cr Phil Halse
Cr Deborah Harding
Cr Patrick Holmes
Cr Scott McKenzie
Cr Marie Olsen
Cr Carol Peters
Cr Simon Reid
Cr Phoenix Ruka
Cr Paul Yovich

For any queries regarding this meeting please contact the Whangarei District Council on (09) 430-4200.

1. Karakia/Prayer
2. Declarations of Interest / Take Whaipānga
3. Apologies / Kore Tae Mai
4. Decision Reports / Whakatau Rīpoata
 - 4.1 2025-26 Annual Plan and Fees and Charges - Deliberations 3
5. Public Excluded Business / Rāhui Tangata
6. Closure of Meeting / Te katinga o te Hui

Recommendations contained in the Council agenda may not be the final decision of Council.

Please refer to Council minutes for final resolution.

4.1 2025-26 Annual Plan and Fees and Charges - Deliberations

Meeting: Whangarei District Council
Date of meeting: 5 June 2025
Reporting officer: Aaron Taikato, General Manager – Strategy and Democracy
Bronwyn Bayne, Manager – Corporate Planning

1 Purpose / Te Kaupapa

For Council to formally consider submissions received on the consultation documents for the 2025-26 Annual Plan and 2025-26 Fees and Charges consultations and formalise positions for adoption later in June.

2 Recommendations / Whakataunga

That the Council:

1. Notes and considers the 792 formal submissions received on the draft 2025-26 Annual Plan and the draft 2025-26 Fees and Charges consultations.
2. Will introduce a District-wide universal stormwater targeted rate of \$172.00 including Goods and Services Tax (GST) per separately used or inhabited parts of a rating unit.
3. Will set the Uniform Annual General Charge at \$901.00 including GST per separately used or inhabited parts (SUIP) of a rating unit as per the Financial Strategy for the 2024-34 Long Term Plan (LTP).
4. Will not proceed with the proposed temporary rates relief for farmed business-zoned land, consulted on in the draft 2025-26 Annual Plan.
5. Will increase general rates by 9.7% for the 2025-26 Annual Plan in recognition of the tough economic environment and the consequential financial hardships being faced by many ratepayers, noting that the draft 2025-26 Annual Plan included increasing general rates by an average of 10.7% as per the Financial Strategy approved in the 2024-34 LTP.
6. Notes that a 1% reduction in the general rates increase for 2025-26 will require ongoing operational cost reductions of approximately \$1 million so as not to deviate from the benchmarks set in the Financial Strategy for the 2024-34 LTP. Staff propose that these cost reductions can be met by reducing operating budgets funded by general rates on a pro-rata basis.
7. Will increase targeted rates for 2025-26 as per the Financial Strategy for the 2024-34 LTP:
 - a. Water rates of 5.7% (Local Government Cost Index (LGCI) plus 2.5%), which includes allowances for increased Central Government imposed levies and higher than expected costs as set out in the 2025-26 Annual Plan Consultation Document:
 - i. An additional \$15.00 including GST, per SUIP, to the water supply charge, the availability water rate and the unmetered water rate to recover the Government imposed levy.
 - ii. An additional \$8.00 including GST, per SUIP residential wastewater connection and an additional \$5.00 including GST, per pan for non-residential connections to recover the Government imposed levy.
 - iii. Increased backflow preventer rates to recover higher than expected cost increases.
 - b. Wastewater rates of 3.2% (LGCI).
 - c. Flood protection rates for Hikurangi Flood Protection Scheme of 3.2% (LGCI).
8. Notes that growth will be allowed for in expected revenue from rates as per the Financial Strategy for the 2024-34 LTP. This budget assumption is to account for growth in new rateable properties and allows for an additional 1.3% for general rates and stormwater, and 1% for water and wastewater.
9. Notes the submissions requesting \$3.5 million in Council support in 2025-26 towards the build of an indoor sports facility as part of stage 2 of the Ruakākā Recreation Centre development and the request be considered as part of the 2027-37 LTP.

10. Notes the request from Glenbervie School for an unspecified amount of funding in 2025-26 for a road safety barrier next to the school and that Staff will continue to engage with the school and the Ministry of Education.
11. Will increase the 2025-26 Fees and Charges as detailed within the Statement of Proposal.
12. Will approve the preparation of the final 2025-26 Annual Plan and the 2025-26 Fees and Charges scheduled for presentation for adoption to the June 2025 meeting of Council.

3 Background / Horopaki

Council has held numerous briefings and meetings to set the draft direction of the 2025-26 Annual Plan (AP26). Council agreed to adhere as closely as possible to the established baseline and benchmarks in the first three years of the 2024-34 Long Term Plan (LTP) to continue to achieve the outcomes already committed to.

The draft AP26 represents Year 2 of the LTP with three consultation questions relating to:

- (Question 1) Introducing a district-wide universal stormwater targeted rate to fund the stormwater activity. This was sign-posted in the LTP.
- (Question 2) Reducing the Uniform Annual General Charge (UAGC) to \$500.
- (Question 3) Introducing a contestable grant to provide relief to farmed, business-zoned properties being held for future development.

On 27 March 2025 the Consultation Document for the 2025-26 Draft Annual Plan and the Statement of Proposal for 2025-26 Fees and Charges were adopted for consultation, subject to the Special Consultative Procedure process under the Local Government Act 2002 (LGA). Council also consulted on the Water Services Delivery Plan (WSDP) as part of Local Waters Done Well (LWDW).

These documents were available to the public for consultation between 2 April and 2 May 2025 in accordance with the requirements of the LGA. There were 650 submissions received for the 2025-26 Annual Plan (including 9 late submissions). Also included in this total were 303 signatories to a bulk submission on the proposed stage two of the Ruakaka Recreation Centre, a multi-user indoor facility for Bream Bay. This was backed by a more in-depth submission from the Ruakaka Recreation Centre Committee, meaning a total of 304 submissions were received on this topic.

There were 142 submissions received for the 2025-26 Fees and Charges, however the majority of these related to Rates. 91 submitters indicated that they would like to be approached to be heard, with 33 of these confirming a hearing time slot. Submissions hearings were held on 12 May 2025 and there were three cancellations on the day meaning that 30 submitters were heard. Twelve volumes of submissions were created including one for Fees and Charges (Volume 11) and one for late submissions (Volume 12).

Staff reviewed and analysed the submissions, presenting their summary for consideration by Council at a briefing held on 27 May 2025. Elected Members discussed the various issues and options raised and provided direction back to staff for the preparation of Deliberations.

4 Discussion / Whakawhiti kōrero

Council must now formally consider the submissions received on the consultation documents for the 2025-26 Annual Plan and the 2025-26 Fees and Charges consultations, determining changes, if any, to be made as a result of consultation. This is a critical step in preparing the final 2025-26 Annual Plan and the 2025-26 Fees and Charges in order to reach formal adoption on 26 June 2025.

4.1 Rates Changes and Requests for Funding

4.1.1 Introduction of a District-wide universal stormwater targeted rate

As set out in the consultation document, the proposed stormwater targeted rate will help ensure that we have a dedicated and sustainable funding source to cover the costs of maintaining and upgrading our stormwater infrastructure. This change was signalled in the LTP, with the year one activity funded through debt. This new revenue will fund the maintenance and improvement of stormwater systems, including important work like clearing drains and renewing and maintaining stormwater pipes and retention basins. It will also support work aimed at reducing flood risks and improving water quality in our rivers and streams. This vital system benefits everyone in the District, not only those homeowners or businesses directly connected to the system – but extends to protecting roading, community assets, and businesses everyone relies on across the District.

There was no overwhelming support for either of the two options consulted on: a rate calculated using the land value of a rating unit or a universal rate per separately used or inhabited part of a rating unit (SUIP). However, there was a slight preference for rating based on the number of SUIP's for a rating unit. The general themes of fairness, affordability and equity were raised. A number of rural property owners submitted that they received less direct benefit from stormwater operations so should pay a lower share of rates.

Submissions and staff analysis were reviewed and discussed at the Issues and Options Briefing on 27 May 2025 and Council feedback and direction from this briefing generally support introducing a District-wide universal rate assessed on the number of SUIPs for each rating unit. However, during the development of the 2027-37 LTP, other options for assessing this rate could be considered.

Recommendation:

Council will introduce a District-wide universal stormwater targeted rate of \$172.00 including GST assessed per separately used or inhabited parts of a rating unit.

4.1.2 Reducing the Uniform Annual General Charge (UAGC) to \$500

The intention in reducing the UAGC was to provide rates relief for owners of lower land value properties, addressing affordability of rates for our community. However, the change also significantly increased rates for properties with higher land values.

A large majority of submitters preferred to leave the UAGC at status quo \$909 rather than lowering it to \$500. Responses referenced fairness, value for money and affordability.

Submissions and staff analysis were reviewed and discussed at the Issues and Options Briefing on 27 May 2025 and Council feedback and direction from this briefing supported the

UAGC remaining at status quo. Note that reducing the general rates increase to 9.7% sees the UAGC at \$901.

Recommendation:

Council will set the Uniform Annual General Charge at \$901.00 including GST per separately used or inhabited parts (SUIP) of a rating unit as set out in the Financial Strategy for the 2024-34 LTP.

4.1.3 Temporary rates relief for farmed, business-zoned land

The intent of the proposal was to provide temporary relief to landowners that were impacted by a 2021 change in rating policy, which saw the commercial and industrial differential applied to all business-zoned properties, including those used for farming. Most significantly affected by this change were some in the Marsden Point area who previously saw an increase in their land rates of up to 563% following a large lift in their land value after the 2021 general revaluation. The grant (up to \$500,000 in 2025-26; up to \$350,000 in 2026-27; up to \$250,000 in 2027-28) was to be funded by ratepayers in the Commercial & Industrial and Rural sectors, coming to an additional 1.2% general rates increase for these sectors.

There was a clear majority of submitters that did not support the provision of a grant to support business-zoned landowners who currently farm their properties. While many respondents expressed sympathy for the affected landowners, most felt that the financial burden should not be shifted to others, particularly given rising costs for all ratepayers. Several noted that business-zoned landowners benefit from higher-than-average capital gains and therefore questioned the need for relief. This view was echoed by two key organisations representing the farming and business sectors, Federated Farmers Northland and the Northland Chamber of Commerce, both of whom did not support providing targeted financial relief. Issues included fairness, precedent and alignment with Council's strategic objectives.

Submissions and staff analysis were reviewed and discussed at the Issues and Options Briefing on 27 May 2025 and Council feedback and direction from this briefing was to not proceed with the proposed temporary relief for farmed, business-zoned land. However, this was not unanimous, with some voicing support for proceeding with the grant.

Recommendation:

Council will not proceed with the proposed temporary rates relief for farmed, business-zoned land as consulted on in the draft 2025-26 Annual Plan.

4.1.4 General rates increase

Financial Strategy set in LTP

The *2025-26 Annual Plan introduction Briefing* followed the Local Government New Zealand (LGNZ) conference where the Prime Minister and Government Ministers were consistent in their message that Local Government must cut out the nice- to- haves and get back to basics. Council agreed that the 2025-26 Annual Plan should adhere as closely as possible to the first three years of the LTP, staying the course to achieve the outcomes already committed to.

The following limits and parameters were set for the LTP:

- **Balanced budget:** Council will set a balanced budget every year.
- **Everyday funding:** Everyday operational expenses should be covered by everyday funding from year four.
- **Debt limit:** The net debt to revenue ratio will remain below 175%.
- **Credit rating:** Council's credit rating should be actively managed with no further drops during the LTP term.

While rate increases were applied to the Annual Plan, the additional revenue is largely used to fund Council's increased depreciation expense and to reduce reliance on capital funding and targeted rates. This allows Council to work towards achieving the Everyday Funding position by year four.

Implications of not following Financial Strategy

Any reduction to rates increases without a corresponding cost reduction will deviate from the Financial Strategy and create challenges for future years when higher rates increases would be required to make up for any lost revenue. Similarly, a deviation from the net revenue position indicated in the LTP and not achieving other goals in the Financial Strategy may trigger a credit rating downgrade or change to a negative outlook, thereby negatively impacting our future borrowing costs. Furthermore, due to the cumulative effect of rates, reducing any proposed increase can have a significant impact across the later years of the LTP.

Operational budget pressures

In the lead up to the Annual Plan consultation, Budget managers were not given the opportunity to add further operational costs into the LTP year two budget start point. On top of this, operating budgets were not increased for the movement in LGCI between the LTP year one (2.2%) and the revised LGCI (3.2%). This 'forced savings' equivalent to 1% of general rates revenue to allow for additional funding to cover higher depreciation as a result of the June 2024 property revaluation. While this approach allowed Management to restrict budget increases beyond the funding available, it creates challenges as to how legislatively driven or already committed costs not included within the budget will be funded next financial year.

Senior Management have made concerted efforts since December last year to reduce the list of unbudgeted items by funding within existing departmental and group budgets. Staff calculate the remaining total to be approximately \$5.1 million, equivalent to 5% of general rates revenue. Examples of where existing budgets are insufficient include:

- Emergency road repairs \$2,600,000
- Water testing and maintenance costs \$500,000.
- Security guard costs \$500,000.
- Wastewater capacity assessments \$450,000.
- Software costs \$359,000.
- Vandalism repairs \$160,000.
- Fringe benefit tax liability \$150,000.
- External events \$144,000.
- Cleaning costs \$100,000.

Submissions and staff analysis were reviewed and discussed at the Issues and Options briefing on 27 May 2025 and Council feedback and direction from this briefing included the desire to reduce the proposed general rates increase by 1%, to 9.7% in recognition of the tough economic environment and the consequential financial hardships being faced by many ratepayers. This will result in an approximate \$1 million reduction in general rates revenue for 2025-26 and outyears. Staff propose that this reduction can be met by reducing operating budgets financed by general rates on a pro-rata basis. Staff were also asked to bring back to Elected Members options of where further operating cost savings to address the additional \$5.1 million operating unbudgeted high priority activities could be achieved. This briefing will take place in July/August.

Recommendation:

Council will increase general rates by 9.7% for the 2025-26 Annual Plan in recognition of the tough economic environment and the consequential financial hardships being faced by many ratepayers, noting that the draft 2025-26 Annual Plan included increasing general rates by an average of 10.7% as per the Financial Strategy approved in the 2024-34 LTP.

Council notes that a reduction in the general rates increase to 9.7% for 2025-26 will require ongoing operational cost reductions of approximately \$1 million so as not to deviate from the benchmarks set in the LTP Financial Strategy. Staff propose that these cost reductions can be met by reducing operating budgets funded by general rates on a pro-rata basis.

4.1.5 Targeted rates increases

The following targeted rates increases were set for the LTP year two (2025-26):

- Water Rates: 5.7% (2.5% plus LGCI of 3.2%)
- Wastewater Rates: 3.2% (LGCI only)
- Hikurangi Flood Protection Rates: 3.2% (LGCI only)

The 2.5% increase for Water Rates includes passing on costs that are driven by Central Government. As set out in the 2025-26 Annual Plan Consultation Document, Central Government is proposing to impose levies on councils to fund New Zealand's Water Services Authority and the Commerce Commission. The cost to Council could be \$526,000 for 2025-26. The water activity share would be \$363,000. It is proposed to fund this via the water supply rate. The water supply rate is \$40 per connection in 2024-25, the current year. Including the additional levy funding, it is proposed to increase the supply charge to \$57 per connection, rather than \$42 as per the 2024-34 LTP. The availability water rate and the unmetered water rate are also proposed to be increased by an additional \$15 to the planned rates: \$42 and \$587 respectively. The amounts are GST inclusive, and the rates are assessed per SUIP.

The wastewater activity share would be \$147,000. It is proposed to fund this by increasing the sewerage disposal rates. The residential rate is proposed to be increased by an additional \$8 to \$966 per SUIP, and the non-residential rate by an additional \$5 to \$625 per pan.

One of Council's barriers to water contamination is backflow preventors. Generally domestic/ordinary use connections will have a non-testable dual check device and commercial/extraordinary use customers will require a testable backflow prevention device at the point of supply. The testable back flow preventor costs have increased more than the rates increases. There are some 1,370 properties with testable back flow preventors. The revenue sought in 2024-25 was \$129,000. The proposed rates for 2025-26 and what the rates including GST would be if increased as per the 2024-34 LTP are:

Backflow preventer charge	2024-25 rates	2025-26 rates	
		@ 5.7%	Proposed
15/20mm connection	94.22	99.59	137.00
25mm connection	95.5	100.94	139.00
32mm connection	112.98	119.42	151.00
40mm connection	115.63	122.22	154.00
50/60mm connection	119.96	126.8	170.00
80/100mm connection	302.13	319.35	370.00
150mm connection	353.69	373.85	430.00
200/250mm connection	585.79	619.18	857.00

The other increase to the targeted rates comes from inflation indexation. Council's LTP, Annual Plan and Fees and Charges are modelled using the Local Government Cost Index (LGCI) as the appropriate inflation rate. The LGCI is a price index developed by Business and Economic Research Limited (BERL). The LGCI is seen as the more accurate reflection of cost increases borne by local authorities. LGCI has generally grown faster than CPI. This is because LGCI measures the price for a basket of goods and services more relevant to local authorities' expenditure, rather than expenditure patterns of households.

The LGCI forecast is updated periodically. The LTP is prepared based on the ten year LGCI forecast rates at the time of preparing the LTP budget. The LGCI rate used for each Annual Plan is adjusted based on the revised LGCI rates for the applicable year. These can differ to the rates used in the LTP.

To enable our budgets to reflect the most accurate inflation rate, our LTP Financial Strategy uses LGCI as the inflationary factor rather than a set percentage. The actual rate used is adjusted annually as new inflation data emerges. For 2025-26 the rate is 3.2%.

Recommendation:

Council will increase the following targeted rates for 2025-26 as per the Financial Strategy for the 2024-34 LTP:

- a. Water rates by 5.7% (Local Government Cost Index (LGCI) plus 2.5%), which includes allowances for increased Central Government imposed levies and higher than expected costs:
 - i. An additional \$15.00 including GST, per SUIP, to the water supply charge, the availability water rate and the unmetered water rate to recover the Government imposed levy.
 - ii. An additional \$8.00 including GST, per SUIP for residential wastewater connection and an additional \$5.00 including GST, per pan for non-residential connections to recover the Government imposed levy.
 - iii. Increased backflow preventer rates to recover higher than expected cost increases.
- b. Wastewater rates by 3.2% (LGCI).
- c. Flood protection rates for Hikurangi Flood Protection Scheme by 3.2% (LGCI).

4.1.6 Ruakākā Indoor Sports Facility Funding Request

The Annual Plan consultation elicited a large number of submissions requesting Council support the construction of an indoor sports facility as stage 2 of the Ruakākā Recreation Centre development. The project is costed at \$9 million and the proprietors are seeking a \$3.5 million capital grant (35%) contribution from the Council in 2025-26. This would be funded out of operating expenditure as we would not own the asset. The Ruakākā Recreation Centre has suggested that Council purchase the old recreation centre with the proceeds to fund the new development.

Whangarei District is currently short of 10 indoor sports courts as determined in the Indoor and Outdoor Courts Strategy. The shortage of courts is causing significant issues for indoor sports with demand far exceeding supply and impacting current users as well as preventing sports growth.

Included in the LTP are plans for a six-court indoor facility in a central hub (\$5.5 million in capital funding has been set aside in the LTP for land purchases for this with costs for the facility unfunded). However, it could be up to 10 years before these courts are available to the community.

The Bream Bay area is identified as a growth area in the Future Development Strategy and Parks and Recreation agree this is a desirable project of the correct scale and in the right location to achieve the aims of Council's Indoor and Outdoor Courts Strategy. The Ruakaka Stage 2 has been signalled by Northland Regional Council as a Regional Hub for indoor sports and is likely to obtain funding through their Regional Facilities budget.

While the two Ruakākā indoor sports courts are shovel ready, they are dependent on receiving funding. At this time, it is not clear when the draw down on funding from Whangarei District Council would be required.

There is no provision for funding them in the Annual Plan or the LTP. Thus far Council has committed \$2,755,000 into the Recreation Centre Development:

- \$1.17 million spent last year for a new carpark as part of Stage 1.
- \$633,000 spent across the last two years for a new sports field.
- \$952,000 is set aside in year four of LTP for further sports field and lighting investment.

If Council were to include funding for this in the 2025-26 Annual Plan this would result in:

- Additional debt of \$3.5m over and above debt levels budgeted. (The Revenue and Financing Policy provides for capital grants paid to be funded via debt rather than general rates).
- Additional borrowing costs putting further pressure on the balanced budget benchmark and everyday funding benchmark.
- Additional \$3.5m operating expense. In accordance with legislation this will be included within the balanced budget benchmark. Due to the timing of other similar grants, the cumulative effect of these will result in Council failing to achieve a balanced budget for the 2025-26 Annual Plan. This would not adhere to Council's Council Financial Strategy to set a balanced budget.

With regards to selling the old recreation centre to Council, Officers disagree with this approach. Council preference is to not own community facilities but to provide a lease to the community for which their buildings sit on Council land. Buying this facility increases Council's liabilities and costs and sets a precedence. The old recreation centre is a community asset funded by local community and should remain a local community facility owned and operated by the local community. If the old recreation centre is surplus to the organisation's needs, then it should be passed on to other community organisations which can best utilise the building for community purposes.

Officers will continue to work with the clubs to establish an appropriate lease arrangement and support the transition.

Submissions and staff analysis were presented at the Issues and Options briefing on 27 May 2025. No substantive discussion or direction was provided.

Recommendation:

Council notes the submissions requesting \$3.5 million in Council support in 2025-26 towards the build of an indoor sports facility as part of stage 2 of the Ruakākā Recreation Centre development and the request be considered as part of the 2027-37 LTP.

4.1.7 Glenbervie School Road Safety Barrier Funding Request

A request was received from Glenbervie School on 15 May after they had met with a few Councillors and Council staff to consider funding (unspecified amount) for a road safety barrier for a curved section of road adjacent to the school. This is to protect against impact from vehicles in the event of them losing control on the curve and ending up on school property. The school had commissioned a report to consider the traffic safety of drop-off and pick-up of students and the safety of the road network in the vicinity of the school.

We currently do not have budget for this request. We have funding for High Risk Rural Road treatment of Ngunguru Road from Tikipunga to Ngunguru Village. These works are yet to be prioritised, but it is unlikely that this request would make the cut for the funding available.

Submissions and staff analysis were presented at the Issues and Options briefing on 27 May 2025. No substantive discussion or direction was provided.

Recommendation:

Council notes the request from Glenbervie School for an unspecified amount of funding in 2025-26 for a road safety barrier next to the school and that Staff will continue to engage with the school and the Ministry of Education.

4.1.8 Fees and charges

Council's Revenue and Financing Policy determines how a service should be funded, and it may include a mix of user pays (fees and charges) and public good (general rates). If fees and charges are not increased in line with increased costs, a higher portion of general rates will be required to fund the service.

A Local Government Cost Index (LGCI) increase was generally proposed for the fees and charges subject to consultation. This was to ensure Council's fees and charges are kept in line with the increased costs of providing services.

Submissions were received on specific fees along with more general feedback such as general support of, or general opposition to the increases. Submissions and staff analysis were reviewed and discussed at the Issues and Options briefing on 27 May 2025 and Council feedback and direction from this briefing was to make no changes to the proposed 2025-26 Fees and Charges.

Recommendation:

Staff recommend the proposed 2025-26 Fees and Charges with increases as detailed within the Statement of Proposal.

4.2 Financial/budget considerations

As mentioned earlier in the discussion on the general rates increase, a reduction in the general rates increase by 1% for 2025-26 will require ongoing operational cost reductions equivalent to \$1,028,970 so as not to deviate from the benchmarks set in the LTP Financial Strategy. In addition, further operating cost savings of \$5.1 million will need to be found over the year to continue to fund other unbudgeted high priority activities.

Note that growth will be allowed for in expected revenue from rates as per the Financial Strategy for the 2024-34 Long Term Plan. This budget assumption is to account for growth in new rateable properties and allows for an additional 1.3% for general rates and stormwater, and 1% for water and wastewater.

Recommendation:

Council notes that growth will be allowed for in expected revenue from rates as per the Financial Strategy for the 2024-34 LTP. This budget assumption is to account for growth in new rateable properties and allows for an additional 1.3% for general rates and stormwater, and 1% for water and wastewater.

4.2.1 Capital programme, carry forwards and debt

Efforts are ongoing to deliver the capital programme and spend is up on prior years. The accuracy of forecasting and resulting carry forwards continues to be a challenge. There have been delays to projects in the capital programme set as part of the LTP through a combination of Council decision making (e.g. Springs Flat), delays in completing business cases, consent delays and procurement timeframes.

As Council progresses through the first few years of the Plan, unspent capital budgets are carried forward for completion in the following financial year. This can create a 'snowball' effect by year three if not addressed. While it may seem practical to simply reduce the capital programme to avoid carry forwards, staff do not recommend this.

The capital programme set as part of the LTP has been consulted on with ratepayers and staff do not recommend removing projects from the Plan during an Annual Plan cycle as it is not transparent and will not necessarily impact the financial statements.

During the financial modelling process, debt forecasts are based on a historical trend analysis including capital programme delivery. This provides a mechanism to adjust the budgeted debt by reducing the 'funded' capital programme to a level that is expected to be delivered. This means Council does not borrow funds unless they are needed, avoiding unnecessary debt, over-hedging, and keeping interest charges (that are funded by rates) to a minimum.

Project budgets are established and phased based on the best knowledge at the start of the year. Over the course of the year, a proportion of projects will experience issues including consent approvals, weather events, procurement delays and construction issues. Carry forwards are necessary to the extent they provide for flexibility and planning, allowing management to take a fluid approach to capital delivery when unforeseen delays are experienced. This has been further supported through the introduction of multi-year forecasting and additional delegations providing for more flexibility to manage the capital programme. However, this must be managed against the negative aspects of carry forwards including:

- Setting false expectations with ratepayers.
- Council not doing what it says it will.
- Difficulty in forecasting debt, cashflow and treasury functions.
- Impacts on depreciation calculations for budget preparation.

The 2027-37 LTP will need to ensure that the capital programme achieves a balance that allows for flexibility, supports growth in our District, supports our asset management plans adequately, without being too aspirational and unachievable. This is a difficult balance to achieve with aspirational projects opportunities to make our District even better.

For 2025/26 the capital programme will encompass Year Two of the 2024/34 LTP, plus any projects carried forward from 2024/25 and any additional projects approved by Elected Members during the year.

4.2.2 Roothing Programme

Confirmation of NZTA funding continues to impact our planning and budgeting process due to the current disconnect in the timeline with Council processes. As Council have experienced this year, the roading programme for years one to three required extensive revision after confirmation that the subsidy income available was reduced compared to what had been included within Council's LTP. The National Land Transport Plan was only confirmed in October 2024 whereas the LTP budgets were established in November 2023.

This creates significant challenges when setting a budget to achieve agreed upon financial parameters and service delivery. While capital spend can be reduced to offset the reduced income, the balanced budget result is still heavily impacted. The introduction of Council's Everyday Funding benchmark helps to manage this by excluding capital revenue, however the variances reported to budget continue to be significant. Additional funding available through contestable processes and the desire to maximise subsidies available, further impedes Council's ability to operate strictly within LTP budgets. A level of flexibility and fluidity is required, creating a challenging environment for reporting and financial discipline. Work will continue to in this space to align the needs of the roading and finance departments, as well as NZTA and other external processes and requirements.

4.2.3 Capital revenue

The uncertainty of other external funding for capital projects can have a significant impact on Council's surplus for the year. The receipt of this income is influenced by funding criteria, milestone completion, and external factors. Best estimates of revenue and associated timings have been made within the Annual Plan budget, however these will be continuously revisited during the forecasting process throughout the year. This uncertainty makes it difficult to accurately budget capital revenue.

5 Significance and engagement / Te Hira me te Arawhiti

The decisions outlined in this Agenda have been subject to public consultation between 2 April 2025 and 2 May 2025.

Consultation on the 2025-26 Fees and Charges has been undertaken as required by the Local Government Act 2002 (the Act) in accordance with the special consultative procedure (SCP). Concurrently with this SCP, Council has consulted on those aspects of the proposed 2025-26 Annual Plan that vary significantly from what was provided for in the corresponding year of the 2024-34 LTP. In that respect consultation requirements under the Act have been met. Council is now in a position to deliberate on submissions received and heard.

The decisions or matters following this Agenda could trigger the significance criteria outlined in Council's Significance and Engagement Policy.

RESOLUTION TO EXCLUDE THE PUBLIC

That the public be excluded from the following parts of proceedings of this meeting.

The general subject of each matter to be considered while the public is excluded, the reason for passing this resolution in relation to each matter, and the specific grounds under Section 48(1) of the Local Government Official Information and Meetings Act 1987 for the passing of this resolution are as follows:

1.	The making available of information would be likely to unreasonably prejudice the commercial position of persons who are the subject of the information. {Section 7(2)(c)}
2.	To enable the council (the committee) to carry on without prejudice or disadvantage commercial negotiations. {(Section 7(2)(i))}.
3.	To protect the privacy of natural persons. {Section 7(2)(a)}.
4.	Publicity prior to successful prosecution of the individuals named would be contrary to the laws of natural justice and may constitute contempt of court. {Section 48(1)(b)}.
5.	To protect information which is the subject to an obligation of confidence, the publication of such information would be likely to prejudice the supply of information from the same source and it is in the public interest that such information should continue to be supplied. {Section 7(2)(c)(i)}.
6.	In order to maintain legal professional privilege. {Section 2(g)}.
7.	To enable the council to carry on without prejudice or disadvantage, negotiations {Section 7(2)(i)}.

Resolution to allow members of the public to remain

If the council/committee wishes members of the public to remain during discussion of confidential items the following additional recommendation will need to be passed:

Move/Second

"That _____ be permitted to remain at this meeting, after the public has been excluded, because of his/her/their knowledge of Item _____.

This knowledge, which will be of assistance in relation to the matter to be discussed, is relevant to that matter because _____.

Note:

Every resolution to exclude the public shall be put at a time when the meeting is open to the public.